

ESG Framework — Research Reading Notes

Bookmark of what to read/research before building the AI-assisted ESG framework.

Decisions so far

- **Regime:** Voluntary — not legally required to report.
- **Primary audience:** Investors.
- **Framework lean:** Investor-focused → SASB / ISSB (IFRS S1 & S2) is the natural fit.

GRI is impact-focused and optional here.

Step tracker

- **Step 0 — Regime gate.** Decided: voluntary. Investor audience.
- [~] **Step 1 — Materiality.** IN PROGRESS. Worksheet: [materiality-assessment.md](#). Output: signed-off material topics.
- **Step 2 — Sector narrowing.** SASB/GRI sector standard mapped onto Step 1 topics.
- **Step 3 — Boundary & GHG.** Boundary statement (org boundary, Scope 1/2/3).
- **Step 4 — Metrics & targets.** Metric register with definitions, units, baselines.
- **Step 5 — Assurance & governance.** Assurance level + who signs what.

Reading priority

Start with materiality — it's the hinge the whole framework turns on. Everything else (topics, metrics, targets, boundaries) is downstream of "what's material to us, and under which lens."

1. **Materiality** — impact vs financial vs double; how to run a materiality assessment (sector guidance + stakeholder input). Read GRI 3 and ESRS 1 (double materiality) first.
2. **Your regime** — mandatory vs voluntary. If CSRD/ISSB applies to you, that decides your structure before any topic does. Legal/compliance question, not a sustainability one.
3. **Boundary & GHG accounting** — GHG Protocol (Scope 1/2/3, org boundary, operational control vs equity share). The most common source of restatement risk.
4. **Sector standards** — SASB industry standard + GRI sector standard for your industry. These narrow the universe of topics to a working list.
5. **Metrics & targets** — then the specific metric definitions (GRI 305-, *ESRS E1*-, SBTi criteria) and baseline/recalculation rules.
6. **Assurance & governance** — read last, but design for it early.

If you only do one thing before building: run a materiality assessment against your actual business and geographies. Metrics are easy to look up later; getting materiality wrong invalidates the whole output.

The steps in plain English

Step 0 — Regime gate. Are we legally required to report, or doing this voluntarily?

Ask legal/finance one question: "are we required to report ESG anywhere?" The answer decides everything after. If required, the law dictates what you disclose and you build to match it.

If voluntary, you choose. **You are voluntary, investor audience.**

Step 1 — Materiality. What actually matters about our business?

"Material" just means "important enough to report on." You look at your business (sector, where you operate, your supply chain), talk to stakeholders, and produce a shortlist of the topics that genuinely matter. This is the most important step — every topic, metric, and target downstream comes from this list. Don't let AI pick these; it's a business judgement.

Read: GRI 3 and ESRS 1. Output: a signed-off list of material topics.

Step 2 — Sector narrowing. Cut the list down to what applies to our industry.

Standards publish industry-specific lists (SASB industry standard, GRI sector standard).

You overlay yours on the Step 1 shortlist and remove topics that don't apply. Output: a clean working topic list.

Step 3 — Boundary & GHG. Decide what we're actually measuring.

"Boundary" means the edges of what you report: which entities, which countries, and for emissions which of the three scopes (direct emissions, purchased energy, supply chain and customers). Decide it once, write it down in one page. This is where most companies later get caught out, so keep it precise. Output: a one-page boundary statement.

Step 4 — Metrics & targets. Turn topics into numbers.

Now — and only now — look up the actual metrics for the topics that survived Steps 1–3, and define how you'll measure each one (unit, definition, starting year). A target without a starting year is meaningless, so pair them. Output: a metric register.

Step 5 — Assurance & governance. Who checks it and who signs it off?

Decide who independently reviews the numbers and who formally approves the report. Skim this early too, because it affects how you collect data in Steps 3–4. Output: assurance level plus a named sign-off chain.

Rule of thumb: never jump ahead to metrics (Step 4). It's tempting, but measuring things that aren't material is wasted effort. Each step should end with a decision, not a pile of notes.